

A pip (percentage in point) is the smallest standard unit of price movement in forex. For most currency pairs, one pip equals 0.0001 (one ten-thousandth) of the exchange rate. For pairs involving the Japanese yen (JPY) as the quote currency, one pip equals 0.01. For example, if EUR/USD moves from 1.1050 to 1.1051, that is a 1 pip increase. A movement from 110.50 to 110.51 in USD/JPY would similarly be 1 pip. Pips are the basic measure of profit or loss: if you bought EUR/USD at 1.1050 and sold at 1.1060, you gained 10 pips.

1 Lot Sizes and Pip Values

Forex is traded in lots, or standardized contract sizes. The three common lot types are:

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Standard Lot: 100,000 units (of the base currency). Approximate value of 1 pip is \$10. Mini Lot: 10,000 units. Approx value of 1 pip is \$1. Micro Lot: 1,000 units. Approx value of 1 pip is \$0.10.